



age. In fact, almost all the software and IT services companies have initiated cost saving initiatives. For instance, Satyam has chosen to have as many entry level programmers as possible. "Financial sector giants have a 50 per cent cost saving by getting their jobs done by Indian companies," says Vadlamani. Cost cutting is embedded in the code at Infosys too to keep margins in line with expectations. A large part of its US-based sales force is now being recalled in a clear attempt to curtail cost.

More importantly, the focus is to create structures that will generate new business. The urgency is understandable given the magnitude of the problem. "Nobody knows what the extent of the damage would be. But the morale in the IT sector is low at this point," says Vadlamani. He is not so much worried about the potential loss of business

Meltdown AFTERSHOCKS

The US accounts for 60 per cent of IT revenues of which 40 per cent comes from the financial sector. The crisis poses a double-whammy for Indian firms.

POTENTIAL JOB LOSSES IN INDIA CAN BE IN THE RANGE OF 10,000-25,000.

Indian companies may not be able to meet the 2010 exports target of \$60 billion, says Nasscom.

EXPANSION AND REVENUES OF IT AND ITES FIRMS WILL BE HIT AS EARNINGS ARE EXPECTED TO DIP BY 25 PER CENT.

worth \$2 million with Lehman and \$4 million with AIG in the near future, as about the growing sentiments about uncertainty of the future. Though worried, Rajeev Mistral, founder, Mistral Software, would rather see the meltdown as a short-term affair. "Global meltdown is a concern, but I would not be unduly worried. Difficult times always will be followed by good times," he says. But Mistral's cheerful outlook on India recovering after a short-term impact has few takers. Mittal points out that with such high stakes, the global financial meltdown following the collapse of US investment banks poses a long-term challenge.

Agrees Gaurav Sahu, partner, Grant Thornton: "Mergers and acquisitions as happening in the US financial space, and the conversion of large investment banks into commercial banks are not things which would happen overnight. It could lead to financial biggies revisiting their existing outsourcing contracts as they consolidate and take stock of their exposure in the various emerging economies."

With clients in the financial sector expected to withhold spending on new projects and delay expansion, it is clear that business prospects will also be affected in the next two or three quarters. According to international research agency Forrester, growth from financial services, the most aggressive buyers of technology, would go back to 25 per cent at a time when the IT industry has posted a cumulative growth per annum of 31 per cent.

NASSCOM warns that industry could also miss its revenue (software exports) target of \$60 billion by 2009-10. Says Mittal, "The exports target of \$60 billion as per a McKinsey report by 2009-10 is tough; even \$40 billion for 2008 appears challenging."

Software and IT, however, are not just about exports and imports. It is about employment too, says Akhilesh Tuteja, executive director, KPMG. "Potential job losses in India can be in the range of 10,000." Others peg it as high as 25,000. The IT and financial services have been bullish on recruitment with plans to hire one lakh and 6,500 personnel, respectively. Though companies have not so far reversed their intent, much would depend on the